

FairScope

A Jurisdiction-Aware Fair Lending Compliance Tool

Entity: HSBC Holdings plc (US + UK operations)

Domain: Fair Lending / Algorithmic Fairness

Jurisdictions: US — CFPB Regulation B | UK — FCA Consumer Duty

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Course: MH6822 Regulatory Technology | Option B — Architecture Design

The Problem

Two countries. Two incompatible definitions of fairness.

	United States (Reg B, 2026)	United Kingdom (Consumer Duty)
Standard	Intent-based; disparate impact de-emphasised	Outcome-based; good consumer results required
Race data	Inferred via BISG (surname + zip code)	Self-declared only; inference prohibited under GDPR
Fairness test	Four-fifths rule (voluntary monitoring)	Outcome categories across protected groups
Who decides	CFPB (federal regulator)	FCA + ICO jointly
Enforcement	ECOA civil liability; HMDA annual filing	Consumer Duty Board report; FCA supervisory action

Risk: Applying one jurisdiction's approach to the other is not just wrong — it may be illegal.

Applying BISG in the UK without consent may breach UK GDPR Article 9. Applying outcome-only logic to US HMDA reporting without Reg B notices exposes HSBC to ECOA liability.

Current state: HSBC has no unified system applying both standards correctly, with an audit trail linking decisions to the exact regulatory version active at the time.

What FairScope Does

A jurisdiction-aware monitoring layer — not a lending system.

1. ROUTES

Each application goes to the correct pipeline (US or UK). They never cross-contaminate.

2. ANALYSES

Applies the fairness standard that is legally correct for each jurisdiction — not a global default.

3. GENERATES

Jurisdiction-specific outputs: Reg B notices, HMDA records, Consumer Duty outcome records, ICO notes.

4. TAGS

Every decision permanently tagged with the exact regulatory config version active at processing time.

What it does NOT do: make lending decisions · infer race for UK applicants · auto-submit any regulatory filing

FairScope sits between HSBC's credit decisioning engine and its regulatory reporting systems. It watches. It analyses. It alerts. It does not act.

The Regulatory Divergence FairScope Handles

Two concrete examples where the jurisdictions contradict each other.

Example 1 — Race Inference		
US	UK	FairScope Resolution
CFPB encourages BISG (surname + zip code) for aggregate monitoring. HMDA requires race data collection.	ICO guidance: inferring ethnic origin from name + postcode is likely special category data under GDPR Art. 9. No equivalent CFPB permission exists in the UK.	US pipeline uses BISG for aggregate monitoring only — never individual decisions. UK pipeline does not call the BISG module at all. Enforced at architecture level, not a configuration flag.
Example 2 — Adverse Action Standard		
US (post-2026)	UK	FairScope Resolution
Adverse action notice must state specific financial reasons. A generic 'credit score' satisfies Reg B. Intent is the key question.	Consumer Duty plain language requirement: explanation must be genuinely understandable to the consumer. FCA multi-firm review found most firms failing this.	US and UK use entirely separate notice templates with separate validation rules. A UK notice that satisfies Reg B is not automatically approved for Consumer Duty.

What FairScope Does Not Do — And Why We Are Telling You This

Honest scope boundaries. Not omissions we intend to fix immediately.

What it does not do	Why we drew the line here
Make lending decisions	Accountability requires human ownership of credit decisions. FairScope is a monitoring tool, not an underwriter.
Infer race for UK applicants	Legal prohibition under UK GDPR Article 9. We will not find workarounds.
Cover US state-level fair lending laws	50 state regimes require 50 additional config schemas. Phase 2 priority.
Resolve UK non-response on self-declaration	~30% of UK applicants decline to state ethnicity. We report the rate. Imputing values would introduce indefensible assumptions.
Auto-submit regulatory filings	Human authorisation required for every submission. This is a feature, not a limitation.

With more time / budget: US state-level config extension · HMDA industry benchmarking via CFPB API · Plain-language adverse action reasons generated from SHAP values

FairScope does not make HSBC fair.

Fairness is a human commitment.

What FairScope does is make it impossible to claim ignorance —
about what standard applied, about what the data showed,
and about whether anyone was watching.